GRADE 12 ECONOMICS

EUEE MASTER STUDY GUIDE

Ethiopian University Entrance Exam
Complete Exam Preparation

Macroeconomics · AD/AS · Market Failure · Policy · Monetary · Global Trade

Simplified · Exam-Focused · High-Score Strategies

UNIT 1

FUNDAMENTAL CONCEPTS OF MACROECONOMICS

1.1 Definition and Focus of Macroeconomics

Definition — Macroeconomics

The branch of economics that studies the performance, structure, behaviour, and decision-making of an entire economy rather than individual markets.

Main macroeconomic goals:

- **Economic growth:** sustained increase in real GDP over time
- **Full employment:** low unemployment (natural rate ~4-5%)
- **Price stability:** low, stable inflation (target ~2-3%)
- **Balance of payments equilibrium:** exports ≈ imports
- **Equitable income distribution:** fair spread of wealth

1.2 Key Macroeconomic Challenges

Economic Growth:

Definition — GDP (Gross Domestic Product)

The total monetary value of all goods and services produced within a country in a given year. Measured by: GDP = C + I + G + (X-M)

- C = Consumption, I = Investment, G = Government spending, X = Exports, M = Imports
- **Real GDP:** GDP adjusted for inflation (better measure of actual growth)
- **GDP per capita:** GDP ÷ population = average living standard

Inflation:

Definition — Inflation

A sustained rise in the general price level of goods and services. Measured by CPI (Consumer Price Index).

- **Demand-pull inflation:** too much money chasing too few goods; economy overheating
- **Cost-push inflation:** rising production costs (wages, oil prices) push up prices
- **Hyperinflation:** extremely rapid inflation (Zimbabwe 2008: 89.7 sextillion%)

• **Deflation:** falling prices; dangerous — delays spending, increases debt burden

Unemployment:

Definition — Unemployment Rate

Percentage of the labour force that is jobless but actively seeking work.

• **Frictional:** between jobs; short-term; normal in healthy economy

• **Structural:** skills mismatch (technology replaces workers); long-term

• **Cyclical:** caused by economic recession; most serious type

• **Seasonal:** jobs that only exist at certain times of year (farming, tourism)

• **Natural Rate of Unemployment (NRU):** frictional + structural; economy at full employment

Business Cycle:

• **Expansion/Boom:** rising GDP, low unemployment, rising prices

• **Peak:** maximum output; inflationary pressure

• **Contraction/Recession:** falling GDP for 2+ consecutive quarters; rising unemployment

• **Trough:** lowest point; maximum unemployment

1.3 Schools of Macroeconomic Thought

Classical	Smith, Ricardo	Markets self-correct; "invisible hand"; long-run equilibrium	Laissez-faire; no intervention
Keynesian	Keynes	Markets fail; sticky wages; government must intervene in short run	Fiscal policy; increase G during recession
Monetarist	Friedman	Money supply drives inflation; "Inflation is always monetary"	Control money supply; rule-based policy
New Classical	Lucas	Rational expectations; markets clear quickly	Credible policy only; no surprises
New Keynesian	Mankiw	Prices are sticky; markets slow to adjust	Both fiscal and monetary policy

EXAM FOCUS

• GDP formula: C+I+G+(X-M) — must know.

• Types of unemployment: frictional, structural, cyclical, seasonal — with examples.

• Keynesian vs Classical: core debate in macroeconomics.

UNIT 2

AGGREGATE DEMAND AND AGGREGATE SUPPLY ANALYSIS

2.1 Aggregate Demand (AD)

Definition — Aggregate Demand (AD)

The total demand for all goods and services in an economy at a given price level. AD = C + I + G + (X-M)

AD curve: slopes downward (higher price level → lower real output demanded)

Shifts in AD (what moves the curve):

- Increase (rightward shift): higher consumer confidence, tax cuts, increased govt spending, currency depreciation
- Decrease (leftward shift): higher taxes, lower investment confidence, reduced exports

2.2 Aggregate Supply (AS)

Definition — Aggregate Supply (AS)

The total supply of goods and services that firms in the economy are willing to produce at a given price level.

- **Short-run AS (SRAS):** upward sloping; higher prices → more production
- **Long-run AS (LRAS):** vertical at potential (full employment) GDP; price level has no effect

Shifts in AS:

- Rightward (increase): lower production costs, technology improvement, more workers
- Leftward (decrease): higher input costs (oil price shock), natural disasters

2.3 AD-AS Equilibrium

Macroeconomic equilibrium: where AD meets AS (price level and real GDP determined)

- **Demand-pull inflation:** AD shifts right → price level rises → inflation
- **Cost-push inflation:** AS shifts left → price level rises + output falls (stagflation)
- **Recessionary gap:** equilibrium GDP < potential GDP → unemployment

- **Inflationary gap:** equilibrium GDP > potential GDP → inflation

UNIT 3

MARKET FAILURE AND CONSUMER PROTECTION

3.1 Market Failure

Definition — Market Failure

A situation where free markets fail to allocate resources efficiently, resulting in a loss of economic and social welfare.

Types of market failure:

- **Public goods:** non-excludable and non-rival (national defence, lighthouses); free-rider problem; govt must provide
- **Externalities:** costs/benefits spilling over to third parties not in the transaction
- **Asymmetric information:** one party knows more than the other (used car market, insurance)
- **Monopoly power:** single seller restricts output and charges above competitive price

3.3 Externalities

Definition — Externality

A cost or benefit that affects someone not directly involved in an economic transaction.

Negative production externality	Producer harms third party	Factory pollution harms nearby residents	Carbon tax, regulation, fines
Negative consumption externality	Consumer harms third party	Smoking in public	Tax on cigarettes, bans
Positive production externality	Producer benefits third party	Beekeeper's bees pollinate nearby farms	Subsidies
Positive consumption externality	Consumer benefits others	Education, vaccination	Subsidies, free provision

3.2 Public Goods vs Private Goods

Excludable?	No (cannot exclude non-payers)	Yes
Rival?	No (one person's use doesn't reduce others')	Yes
Free-rider problem?	Yes	No
Who provides?	Government	Market
Example	National defence, streetlights	Food, clothing, cars

EXAM FOCUS

- Public goods: non-excludable + non-rival. Always leads to free-rider problem.
- Types of externalities: know all four with examples and government solutions.
- Market failure types: public goods, externalities, asymmetric info, monopoly.

UNIT 4

MACROECONOMIC POLICY INSTRUMENTS

4.2 Fiscal Policy

Definition — Fiscal Policy

Government use of taxation and spending to influence the economy.

Expansionary fiscal policy (to fight recession):

- Increase government spending (G↑) AND/OR cut taxes (T↓)
- Effect: AD shifts right → GDP increases → unemployment falls

Contractionary fiscal policy (to fight inflation):

- Decrease government spending (G↓) AND/OR raise taxes (T↑)
- Effect: AD shifts left → price level falls → inflation controlled

The Multiplier Effect:

- An initial change in spending leads to a larger final change in GDP

Multiplier = 1 / (1 − MPC) where MPC = Marginal Propensity to Consume

- **Budget deficit:** govt spending > tax revenue
- **Budget surplus:** tax revenue > govt spending
- **National debt:** cumulative total of all past deficits

4.3 Monetary Policy

Definition — Monetary Policy

Central bank actions to control money supply and interest rates to achieve economic objectives.

Tools of monetary policy:

- **Open Market Operations (OMO):** buying/selling government bonds. Buy bonds → inject money → lower interest rates. Sell bonds → withdraw money → raise rates.
- **Reserve requirement ratio:** minimum % of deposits banks must hold. Lower ratio → more lending → more money in economy.
- **Discount rate (Bank rate):** interest rate charged by central bank to commercial banks. Lower rate → cheaper borrowing → more spending.

Expansionary monetary policy (easy money):

- Lower interest rates → cheaper loans → more investment and consumption → AD rises

Contractionary monetary policy (tight money):

- Raise interest rates → borrowing more expensive → less spending → AD falls → inflation controlled

4.4-4.5 Income Policy and Foreign Exchange

- **Incomes policy:** government limits on wage and price increases to directly control inflation
- **Foreign exchange rate:** price of one currency in terms of another
- **Currency depreciation:** domestic currency loses value → exports cheaper → imports expensive → AD rises
- **Currency appreciation:** domestic currency gains value → exports expensive → imports cheaper → AD falls
- **National Bank of Ethiopia (NBE):** Ethiopia's central bank; manages monetary policy and exchange rate

EXAM FOCUS

- Fiscal policy: expansionary (G↑, T↓) vs contractionary (G↓, T↑).
- Monetary policy tools: OMO, reserve ratio, discount rate.
- Multiplier = 1/(1-MPC); if MPC=0.8, multiplier = 5.
- AD-AS model is the foundation of all macro policy analysis.

PRACTICE QUESTIONS

1. If MPC = 0.75, what is the multiplier? If govt increases spending by 100 billion, what is the total change in GDP?
2. Explain how contractionary monetary policy reduces inflation. Use the money supply and interest rate in your answer.
3. What is the difference between demand-pull and cost-push inflation?
4. Define a public good and explain the free-rider problem with an example.
5. Distinguish between recessionary gap and inflationary gap. How does government address each?

LAST-MINUTE REVISION GUIDE

GDP formula	**C + I + G + (X − M)**
Real GDP	**GDP adjusted for inflation**
CPI	**Measures inflation by tracking basket of consumer goods**
Demand-pull inflation	**AD rises faster than AS; too much money chasing goods**
Cost-push inflation	**AS falls (input costs rise); price rises + output falls**
Cyclical unemployment	**Caused by recession; most serious type**
NRU	**Natural Rate = frictional + structural**
Keynesian	**Govt should intervene during recession; fiscal policy**
Monetarist	**Control money supply to control inflation (Friedman)**
Expansionary fiscal	**G↑ or T↓; AD shifts right; fights recession**
Contractionary fiscal	**G↓ or T↑; AD shifts left; fights inflation**
OMO buy bonds	**Inject money; lower interest rates; expansionary**
OMO sell bonds	**Withdraw money; raise interest rates; contractionary**
Multiplier	**1 / (1 − MPC)**
Public good	**Non-excludable + Non-rival; free-rider problem; govt provides**
Negative externality	**Fix: tax (Pigouvian tax), regulation, fines**
Positive externality	**Fix: subsidy, free provision**
Currency depreciation	**Exports cheaper; imports expensive; AD rises**

EUEE EXAM STRATEGY

Time Management

- **Skim first (5 min):** Read all questions. Mark easy (E), medium (M), hard (H).
- **Easy first:** Answer all E questions to bank safe marks and build confidence.
- **Pace yourself:** Aim for ~2 minutes per question. If stuck over 3 minutes, skip and return.
- **Show working:** Even wrong answers earn partial marks if steps are correct.
- **Final review:** Use last 10 minutes to check calculations, names, and dates.

Answering Techniques

- Multiple-choice: eliminate obviously wrong answers first, then choose from what remains.
- Definition questions: always include the key term in your answer.
- Explanation questions: structure as Definition → Example → Importance.
- Diagram questions: label all parts, use arrows correctly, add units where needed.
- Essay questions: write a clear intro, 3-4 main points with evidence, strong conclusion.

Common Exam Traps

- Confusing similar terms — always define the exact term asked.
- Incomplete answers — re-read every question before finalising.
- Time overrun — if a question takes too long, note it and move on.
- Skipping diagrams — a well-labelled diagram often earns more marks than a paragraph.
- Not reading all options in MCQ — always read all four choices before selecting.